



New Market Entry: LLaollao

Applied Strategic Marketing Group Report

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1. Executive Context and Company Overview

Founded in 2009 by Pedro Espinosa in Spain, Llaollao has evolved from a local frozen yoghurt shop into a globally recognised frozen yoghurt brand. Rooted in a Mediterranean concept, the brand positions itself at the intersection of indulgence and health, offering natural skimmed milk frozen yoghurt with customisable toppings. This balance allows Llaollao to compete within the dessert category and the broader lifestyle food space.

Today, Llaollao operates approximately 390 stores worldwide (Llaollao, 2020), supported by a standardised and replicable operating model centered on compact, high-footfall retail formats. Guided by product quality and customer satisfaction, Llaollao has built a consistent international presence (Llaollao, 2018). Its values focus on sustainability, customer care, and delivering high-quality products. Meanwhile, its mission is to make frozen yoghurt widely accepted for both its health benefits and taste, while encouraging personalised combinations.

In 2023, the brand generated \$112.9 million in revenue, reflecting renewed international momentum and recovery following recent market disruptions (Fatimah, 2024). With 85 establishments across Asia, including Malaysia, the Philippines, Singapore, Saudi Arabia, Iraq and Kuwait (Llaollao, 2019), Llaollao has demonstrated its ability to operate across culturally diverse markets.

As several of its established markets mature, sustained growth increasingly depends on expansion into high-income consumer environments where discretionary spending, mall-based retail culture, and health-conscious consumption align with the brand's positioning. Expansion into the Middle East therefore represents a strategically coherent next step in Llaollao's international development.

2. Strategic Rationale for New Market Entry

2.1 New Market Definition

The proposed new market is the United Arab Emirates (UAE), representing a new national geography for Llaollao where the brand does not currently operate. While expansion is defined at the UAE level, initial entry will be concentrated in Dubai, the country's primary retail and tourism hub, before potential rollout across other Emirates.

Initial entry will take the form of a single mall-based pop-up in Dubai to validate demand in a high-footfall environment, preserving strategic flexibility and allowing conversion into permanent mall stores before broader expansion across the UAE.

Table 1 summarises key target customer characteristics.

Dimension	Evidence	Strategic Implication
Demographic Concentration	Urban young adults, families, and professionals concentrated in mall-based environments	High exposure to social and impulse dessert consumption
Income Profile	Middle to upper-middle income consumers with high discretionary purchasing power	Supports premium yet accessible pricing strategy
Dining Frequency	59% dine out at least weekly; 55% actively seek discounts (YouGov, 2025)	Enables repeat purchase behaviour and tactical launch promotions
Gender Engagement	Slightly female-skewed: 27% female vs 24% male frozen novelty consumption (Nestlé Professional, 2024)	Slightly stronger baseline category participation among female consumers
Health & Premium Orientation	Clear shift toward healthier and sustainability-focused food choices in the UAE (Gulf News, 2025)	Supports positioning frozen yogurt as a lighter, quality-led indulgence
Price Perception	Consumers willing to pay above \$5 for products framed as “affordable luxury” (QSR Media Asia, 2023)	Validates experiential premium pricing within an accessible range

Table 1: Target Consumer Profile (UAE)

2.2 New Market Suitability

A structurally attractive consumption environment reinforces Llaollao’s existing positioning and expansion model. The national market has evolved into a premium, innovation-led dessert landscape characterised by strong demand for branded, visually appealing and experiential formats (Mayyeri, 2025; Indhu and Anusree, n.d.). High disposable income levels and robust per capita hospitality spending support discretionary dessert purchases rather than necessity-driven consumption (Statista, 2026a; Dubai Business Capital Experts, 2025). As illustrated in Figure 1, rising household income strengthens the affordability of premium yet accessible offerings.

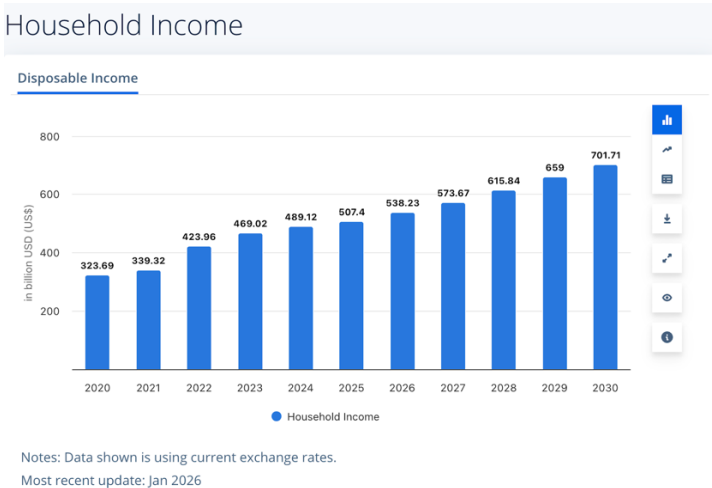


Figure 1: UAE Disposable Income (Statista, 2026a)

Demand conditions are further reinforced by climate and tourism dynamics. Sustained per capita frozen dessert consumption reflects structural demand for cold formats, amplified by Dubai’s climate and tourism inflows (Frost Popsicles, n.d.; Government of Dubai, 2024). Dense mall infrastructure and consistent visitor footfall provide concentrated channels for awareness generation, trial, and repeat purchase, aligning directly with Llaollao’s mall-centric operating model (Usman, 2025).

Beyond macro attractiveness, the UAE closely aligns with the brand’s strategic capabilities. Llaollao’s premium yet accessible positioning complements the UAE’s growing wellness-oriented consumption trends (Sapience, 2025), while its emphasis on customisation corresponds with demonstrated demand for personalised dining experiences. Under the 4As framework (Dadzie et al., 2017), awareness is supported by mall concentration and tourism visibility; acceptability by experiential and health-oriented consumption patterns; affordability by strong purchasing power; and accessibility by dense retail infrastructure (Figure 2).

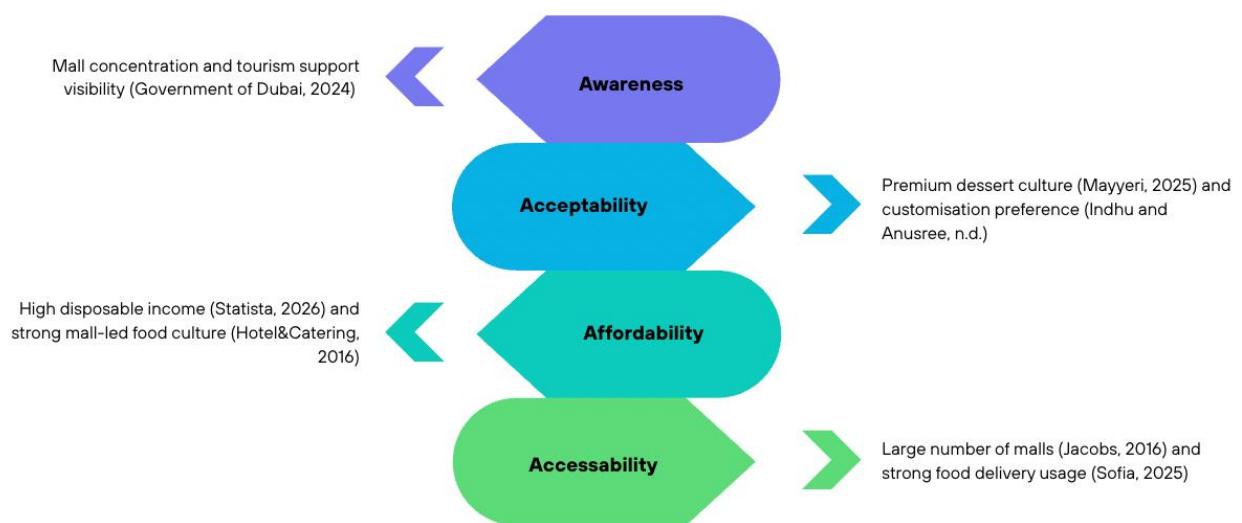


Figure 2: 4As Framework

Collectively, these conditions indicate that entry into the UAE does not require strategic reinvention but instead amplifies Llaollao’s existing strengths. Entering the UAE, therefore, represents a coherent, evidence-supported growth initiative that advances international expansion while reinforcing the company’s positioning and operating model.

3. Market Opportunity and Demand Logic

3.1 Category Definition and Competitive Set

The relevant competitive arena is the out-of-home frozen dessert market in the UAE. At the broad level, this corresponds to the out-of-home ice cream category, which includes ice cream, soft serve, gelato, and frozen yoghurt (Statista, 2026b). These formats compete for the same immediate dessert occasion in high-footfall retail environments and are substitutable at the point of choice.

Within this category, frozen yoghurt represents the most relevant sub-category for Llaollao's entry, characterised by yoghurt-based formulations, toppings-led customisation, and quick-service mall formats (Cognitive Market Research, 2025). Consumer comparison and substitution occur primarily within this segment, making specialist frozen yoghurt operators the most direct competitive set.

3.2 Demand Dynamics

Given the timing of entry, early demand is expected to derive primarily from switching within the frozen yoghurt sub-category rather than structural market expansion. Frozen yoghurt is already established in the UAE, and consumers are familiar with yoghurt-based formats. Llaollao therefore enters an existing market with differentiated execution and positioning rather than creating new demand.

Initial revenue is modelled primarily as share capture from incumbent mall-based frozen yoghurt operators, reflecting low switching costs and high substitutability within the sub-category. While limited substitution from broader ice cream formats may occur, base-case SOM excludes structural category expansion. However, if positioned as a lighter or more acceptable alternative within the dessert category, frozen yoghurt may modestly increase purchase frequency among wellness-oriented consumers over time. This maintains conservative assumptions while acknowledging behavioural upside.

3.3 Market Sizing

3.3.1 Timeframe and Unit of Analysis

A five-year horizon is adopted to reflect the staged nature of Llaollao's entry and gradual store rollout in a new market. As summarised in Table 2, international benchmarks indicate that brand awareness, repeat consumption, and operational stabilisation in mall-based frozen dessert formats develop progressively over several years.

Phase	Benchmark Evidence	Typical Duration
Market entry planning & partner alignment	llaollao's internationalisation relies on structured entry processes, including market evaluation and partner or operator alignment prior to physical rollout, rather than direct and immediate market entry (Corrales-Garay and Montero-Navarro, 2018).	~3-6 months
Initial flagship store opening	llaollao's international expansion announcements show that entry into new markets (e.g. Kuwait, Lebanon) typically begins with a limited number of flagship locations rather than wide coverage (llaollao, 2023b). Comparable frozen-yogurt brands entering the Middle East similarly prioritised first-mover flagship stores (Franchising.com, 2014).	~6-12 months
Early store expansion	Historical rollout data indicate that llaollao expands store networks progressively over subsequent years following initial entry, rather than scaling rapidly within the first year (llaollao, 2023a).	~1-2 years
Brand awareness and repeat consumption	Academic analysis of llaollao's international growth highlights that consumer awareness outside Spain develops gradually through repeated exposure and physical presence in high-footfall retail locations (Corrales-Garay and Montero-Navarro, 2018).	Ongoing; meaningful by Year 2-3
Stabilised operations and predictable demand	Outlet networks and recurring demand in llaollao's international markets stabilise over several years, supporting a medium-term horizon for market-share estimation (llaollao, 2023a).	By Year 5

Table 2: Five-Year Market Entry Benchmarks

The unit of analysis is defined at the individual level. Frozen yoghurt is a single-serve, per-occasion product, and industry data is reported on a per capita basis (Statista, 2026c). Market sizing is therefore modelled by individuals rather than households.

3.3.2 TAM, SAM and SOM Estimation

(Detailed assumptions in Appendix 1)

TAM is defined as the total UAE population economically capable of purchasing frozen desserts. A slice-down approach is applied, applying a conservative 2% annual population growth and excluding children aged 0-2 in line with dietary guidance on added sugar consumption.

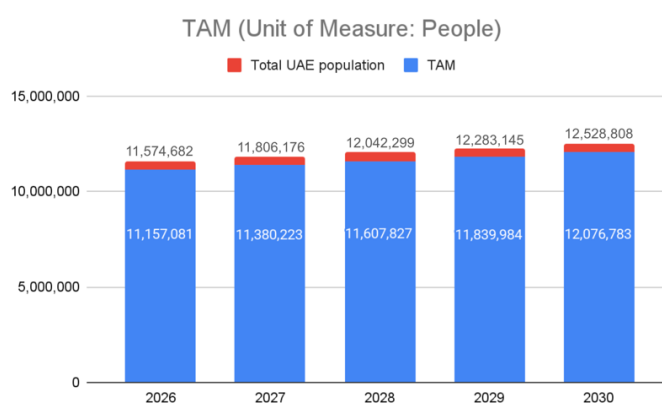


Figure 3: TAM Calculation

Given entry into an established market, SAM is estimated using observed market revenue as the starting point. A category-first approach is adopted, using the out-of-home portion of the UAE ice cream market as the monetary anchor to reflect actual dessert spending (Statista, 2026c). Market value is converted into customer numbers using per capita consumption and a standardised serving assumption, resulting in approximately ten out-of-home dessert occasions per person annually. Benchmarking major operators yields an average spend of approximately \$5 per visit.

Broad Category SAM: Out-of-home Ice cream category in UAE					
Unit of Measure	2026	2027	2028	2029	2030
USD Value	\$71,688,000	\$75,951,000	\$80,043,000	\$85,695,000	\$90,576,000
Number of customers	1,433,760	1,519,020	1,600,860	1,713,900	1,811,520

Note: Category includes ice cream, soft serve, gelato, and frozen yoghurt

Table 3: Broad Category SAM Calculation

A separate frozen yoghurt sub-category SAM is calculated using the same approach. Reported UAE frozen yoghurt market value serves as the monetary anchor (Cognitive Market Research, 2025). As frozen yoghurt is concentrated in specialist out-of-home outlets, no additional out-of-home adjustment is applied. Converting to customer numbers using the same logic results in an estimated four frozen yoghurt purchase occasions per person annually, with an average spend of approximately \$5.7 per serving.

Sub Category SAM: Out-of-home Frozen Yogurt category in UAE					
Unit of Measure	2026	2027	2028	2029	2030
USD Value	\$15,318,758	\$15,983,133	\$16,676,321	\$17,399,573	\$18,154,193
Number of customers	671,875	701,015	731,418	763,139	796,237

Table 4: Sub Category SAM Calculation

SOM is estimated as a percentage share of the frozen yoghurt sub-category. Share increases from 0.8% in 2026 to 3% in 2030, aligned with phased store rollout and brand build-up. Year 5 revenue is estimated at approximately \$544,000 under a two-store configuration, with further growth potential through phased store expansion following proof of concept.

Year	SOM (% of OOH Frozen Yogurt SAM)	Assumption	Supporting Evidence
2026	0.80%	Entry year with limited specialty-store presence focused on prime mall locations and early adopters	Frozen yogurt brands typically enter new markets through a small number of flagship or franchised outlets rather than mass rollout (Franchising.com, 2014; Austrade, 2020)
2027	1.50%	No additional store openings; SOM growth driven by improved store utilisation, repeat visitation, and local brand awareness within the existing catchment area	Case evidence from Yogurtland and Pinkberry shows that early-stage growth often stems from increasing traffic and operational optimisation within initial outlets before further expansion (Franchising.com, 2014; IvyPanda, n.d.).
2028	2.20%	Opening of a second high-footfall mall location, expanding geographic reach and effectively increasing physical capacity and market coverage.	Franchise-led frozen yogurt growth relies on incremental store openings to expand visibility and customer access, with footprint expansion being a primary driver of market share gains (Menchie's Franchise Report, 2020).
2029	2.70%	No further expansion; focus on operational efficiency, localised marketing, and stabilising customer base across two established outlets.	Industry franchise reports indicate that growth moderates following initial expansion as brands prioritise store-level performance optimisation over rapid new openings (Menchie's Franchise Report, 2020).
2030	3.00%	Mature but selective footprint representing a meaningful yet realistic share within the frozen yogurt category, achieved through a limited number of high-performing specialty outlets.	Frozen yogurt markets are characterised by fragmented competition, with multiple specialty brands and independent operators limiting the share achievable by any single brand, even in successful international markets (Austrade, 2020; IvyPanda, n.d.).

Table 5: SOM Assumptions (% Share of UAE Frozen Yoghurt Market)

SOM Calculation					
Unit of Measure	2026	2027	2028	2029	2030
USD Value	\$122,550	\$239,747	\$366,879	\$469,788	\$544,626
Number of customers	5,375	10,515	16,091	20,605	23,887

Table 6: SOM Calculation

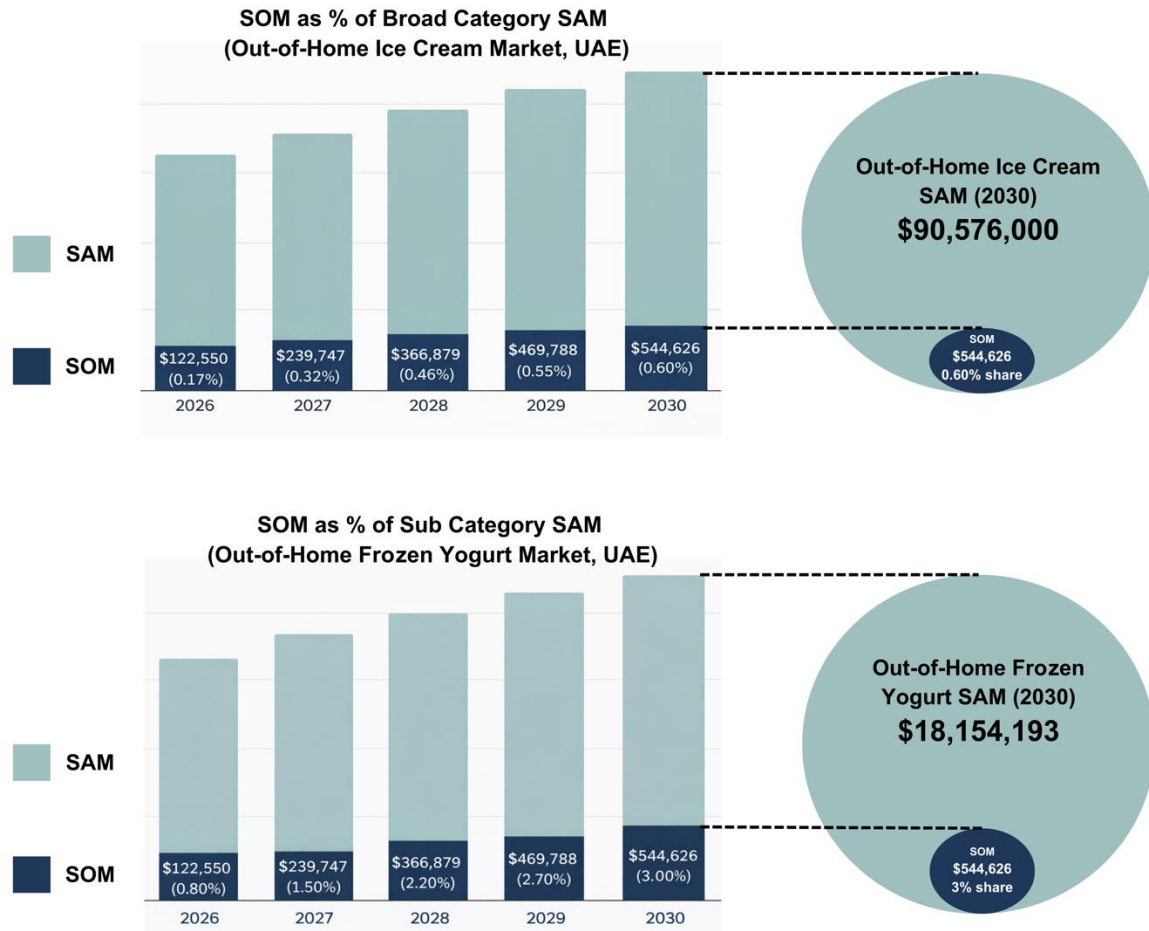


Figure 4: SOM as % of SAM

Using a midpoint investment of \$120,000 per store and a conservative 15% operating margin (GloriaFood POS, n.d.), projected cash flows indicate payback by 2030.

Year	Operating CF (USD) (15% of SOM)	Capex (USD)	Net Cash Flow (USD)	Cumulative Cash Flow (USD)
2026	\$18,383	-\$120,000	-\$101,617	-\$101,617
2027	\$35,962	\$0	\$35,962	-\$65,655
2028	\$55,032	-\$120,000	-\$64,968	-\$130,623
2029	\$70,468	\$0	\$70,468	-\$60,155
2030	\$81,694	\$0	\$81,694	\$21,539

Table 7: Net Cash Flow and Cumulative Payback

Upside from selective franchising or geographic expansion beyond 2030 is excluded from the base case. The five-year SOM therefore represents a disciplined and conservative estimate of

achievable scale under a company owned model, indicating that entry into the UAE frozen yoghurt sub-category is commercially defensible under controlled execution.

4. Proposed Offering: Products & Services

Llaollao will enter the UAE with its standardised frozen yoghurt concept and experiential, customisable format while allowing targeted local adaptation that reflects its proven international expansion capability (Llaollao, 2023a). The proposed offering can be structured using the Three Levels of Product framework (Kotler, 2016).

At the core level, UAE consumers seek refreshing, yet indulgent dessert options embedded within mall-based leisure routines. Llaollao addresses this need through a premium, yet accessible frozen yoghurt experience positioned as a lighter indulgence.

At the actual product level, the brand will retain its frozen yoghurt base, extensive customisable toppings, and portion flexibility. Selective localisation will enhance cultural relevance without altering brand identity. UAE-specific toppings such as dates, pistachio and tahini sauces, and kunafa-based textures will reflect regional flavour preferences. A limited Ramadan seasonal edition will further capture festive demand, supported by evidence that limited-time regional offerings can generate significant sales uplift (Arabian Business, 2018). This approach allows Llaollao to combine global brand consistency with modular local flavour integration, strengthening cultural relevance without sacrificing coherence.

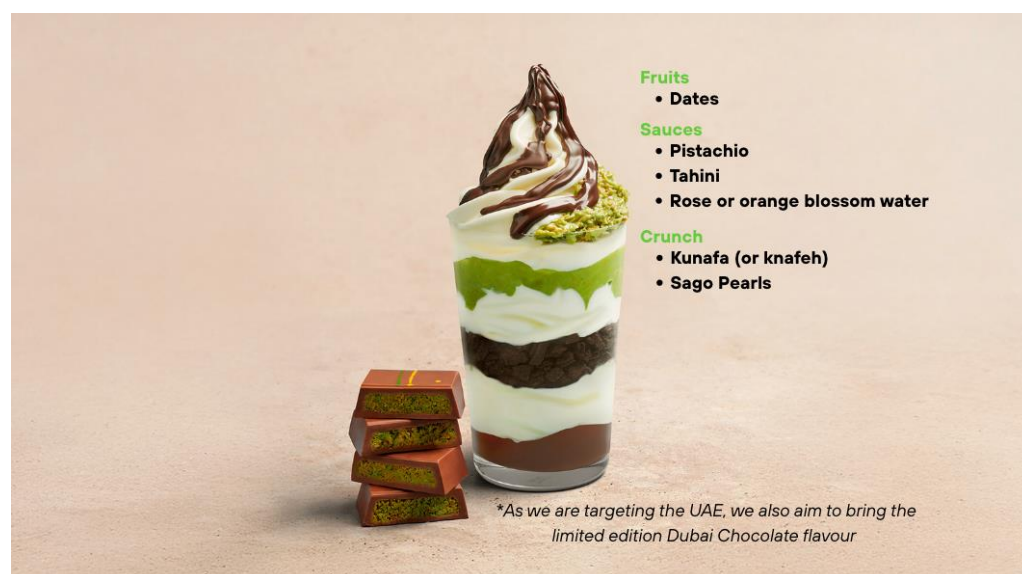


Figure 5: UAE-Adapted Core Benefit Concepts

At the augmented level, Llaollao will operate through a mall-based experiential format featuring interactive topping selection and a clean, modern retail design aligned with the UAE's leisure culture. Digitally, the brand will deploy its existing Llaollao Club app (Llaollao, 2026a) and collaborate with delivery platforms to extend reach beyond physical footfall.

Collectively, the proposed offering builds on Llaollao's scalable store format and modular product architecture, reinforcing operational credibility while ensuring market relevance.

To complement the product-level analysis, the 4Ps framework (McCarthy, 1960) is applied to summarise commercial execution (Figure 6). Pricing has been benchmarked against Llaollao's relative positioning versus Pinkberry in Saudi Arabia, a comparable market with similar competitive dynamics (Mali, 2023; see Table 8).

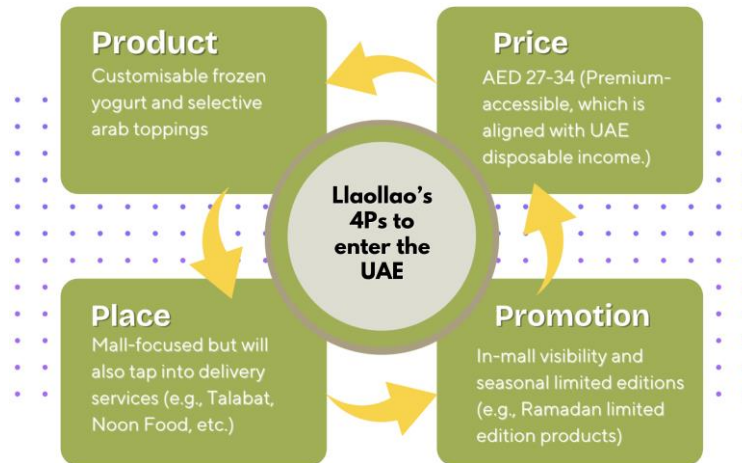


Figure 6: Llaollao 4Ps

	Saudi Arabia (in SR)		Saudi Arabia (in AED)		UAE (in AED)	
	Standard Size (with toppings)	Large Size (with toppings)	Standard Size (with toppings)	Large Size (with toppings)	Standard Size (with toppings)	Large Size (with toppings)
Pinkberry	32	37	31.36	36.26	28	35
Llaollao	31	38	30.38	35.28	27	34
Calculation for Standard Llaollao (UAE) based on Saudi Arabia's price (in AED):			Calculation for Large Llaollao (UAE) based on Saudi Arabia's price (in AED):			
1.) % difference in Saudi Arabia AED price: $(30.38 - 31.36) / 31.36 = -0.03$			1.) % difference in Saudi Arabia AED price: $(35.28 - 36.26) / 36.26 = -0.03$			
2.) Applied the difference to find Llaollao's UAE price: $(1 + (-0.03)) * 28 = 27$			2.) Applied the difference to find Llaollao's UAE price: $(1 + (-0.03)) * 35 = 34$			

Table 8: Pricing Calculation

5. Business Model and Market Route

To succeed in the UAE's premium dessert landscape, Llaollao must align its global identity with local expectations for high-tier execution. The strategy therefore adopts a company-owned entry model to protect quality and brand credibility. As a non-first mover competing against established players such as Pinkberry, differentiation must come from trust and brand meaning rather than footprint alone.

The business model prioritises direct-to-consumer sales through a mall-based pop-up format. Direct ownership protects portion control, topping freshness, and service standards while enabling rapid adaptation to local preferences, including Ramadan-specific SKUs. A hybrid

sourcing approach combining proprietary imported bases with locally-sourced fresh toppings further supports quality consistency and operational resilience.

Route to market centres on partnerships with premium mall operators, reflecting the UAE's mall-centric dining culture, where 97% of residents visit malls primarily for dining (Salian, 2025). Delivery platforms such as Talabat or Noon Food will also complement in-store sales for convenience.

Revenue is generated through direct product sales, supported by repeat visits and loyalty integration. Following validation, selective franchising may be introduced to scale across the UAE in a controlled manner.

To provide a structured overview, Figure 7 presents the Business Model Canvas, illustrating how Llaollao translates its premium yet repeatable positioning into an integrated system of pricing discipline, experiential customisation, and company-owned execution.

Llaollao Business Model Canvas

Key Partners	Key Activities	Value Proposition	Customer Relationships	Customer Segments
Operations : Emaar (Dubai Mall), High footfall "flagship" and pop-up locations Delivery Platforms: Talabat, Noon Food, Deliveroo Local Suppliers: Ensure 'Natural & Fresh', sourcing milk and seasonal fruit locally Supply Chain: (Spain) Centralized sourcing for 'secret formula', signature European sauces	Store Operations: Direct company owned model Customer Experience: High-speed service, Interactive topping selection Rapid Menu Adaptation: Local / Seasonal SKUs (Ramadan specials, dates, pistachio)	Design A 'healthier' dessert, Low-fat probiotic Customisation Experiential customizable treat, High-value for mid-premium price Brand / Status Global brand consistency with local flavors (Kunafa toppings, Rose water sauce) Performance: Reliable, high tier execution, Direct ownership	Personalizable: Interactive 'inventor' of own combinations Digital Loyalty: Llaollao Club app, Personalized promotions Social Value: Social hub for families and groups within mall culture Channels Physical Stores: Mall locations (90% of global success), pop-up style Online: Brand website and social media for marketing Delivery Apps: Talabat and Deliveroo	Income: Middle to upper-middle Diet Health conscious Urbanites Young Adults: Seeking lighter alternatives Mall Centric Families: Residents and tourists visiting malls, 97% of Dubai mall traffic Personalizable: Interactive 'inventor' of own combinations Socially Active Consumers: Seeking visually appealing 'Instagrammable' experiential desserts
Cost		Revenue Streams		
Fixed Costs: High-tier mall rents, flagship store design, skilled service payroll Marketing & Compliance: Initial investment of legal setup, Brand visibility in new market		Variable Cost: Sourcing of local premium ingredients, Imported Spanish bases Direct Product Sale: Single-serve yogurt tubs High-Frequency Repeated Sales: Driven by loyal programs, 'Permissible' for everyday use Seasonal / Limited Editions: Spikes from special SKUs (Dubai Chocolate, Ramadan tartlets)		

Figure 7: Business Model Canvas

6. Competitive Landscape and Sources of Advantage

6.1 Key Incumbent Competitors

Pinkberry and Yogurtland are identified as the two primary incumbent competitors in the UAE frozen yoghurt market. Both operate within the same frozen yoghurt sub-category, compete in mall-based retail environments, and target consumers seeking premium dessert consumption within leisure-oriented settings (Yogurtland, 2026a; Pinkberry, 2026a).

Pinkberry represents the curated premium model anchored in fixed size pricing and brand-led positioning. Yogurtland represents the self-serve, pay-by-weight model built around autonomy and perceived value control. Together, they define the dominant competitive logics in the category and establish the structural boundaries within which Llaollao must compete.

6.2 Comparative Analysis

A structured comparison of the three brands is presented in Table 9.

Dimension	Yogurtland	Pinkberry	llaollao
Pricing Architecture	Pay-by-weight, variable final cost	Fixed size, premium pricing	Fixed size with signature-led combinations
Price Predictability	Low: price uncertainty at checkout	High: predictable but premium anchored	High: predictable with embedded portion discipline
Portion Control Logic	Consumer maximises portion	Brand limits portion	Brand-guided moderation through structured sizes
Ordering Format	Fully self-serve build-your-own	Staff curated, limited autonomy	Guided customisation within structured menu
Behavioural Framing	Abundance and autonomy	Premium occasion-led indulgence	Premium yet repeatable controlled indulgence
Consumption Frequency Signal	Impulse and novelty driven	Treat-based and occasional	Designed to support higher acceptable frequency
Service Throughput Model	Efficiency through self-service	Slower but premium curated service	Structured flow balancing speed and experience
Core Competitive Logic	Value and control	Brand prestige and indulgence	Structured value optimisation

Table 9: Competitive Comparison - UAE Frozen Yoghurt Market

Differentiation in frozen yoghurt is driven less by ingredients and more by pricing architecture, ordering structure, and behavioural framing. Yogurtland's weight-based system maximises

autonomy and perceived abundance but creates price variability. Pinkberry's fixed-size model reinforces premium signalling and reduces uncertainty, framing consumption as occasion-led.

Llaollao combines predictable size-based pricing with guided customisation and signature-led combinations. This embeds portion discipline and reduces cognitive load at purchase. Rather than competing on absolute price, Llaollao competes on perceived value through structured clarity.

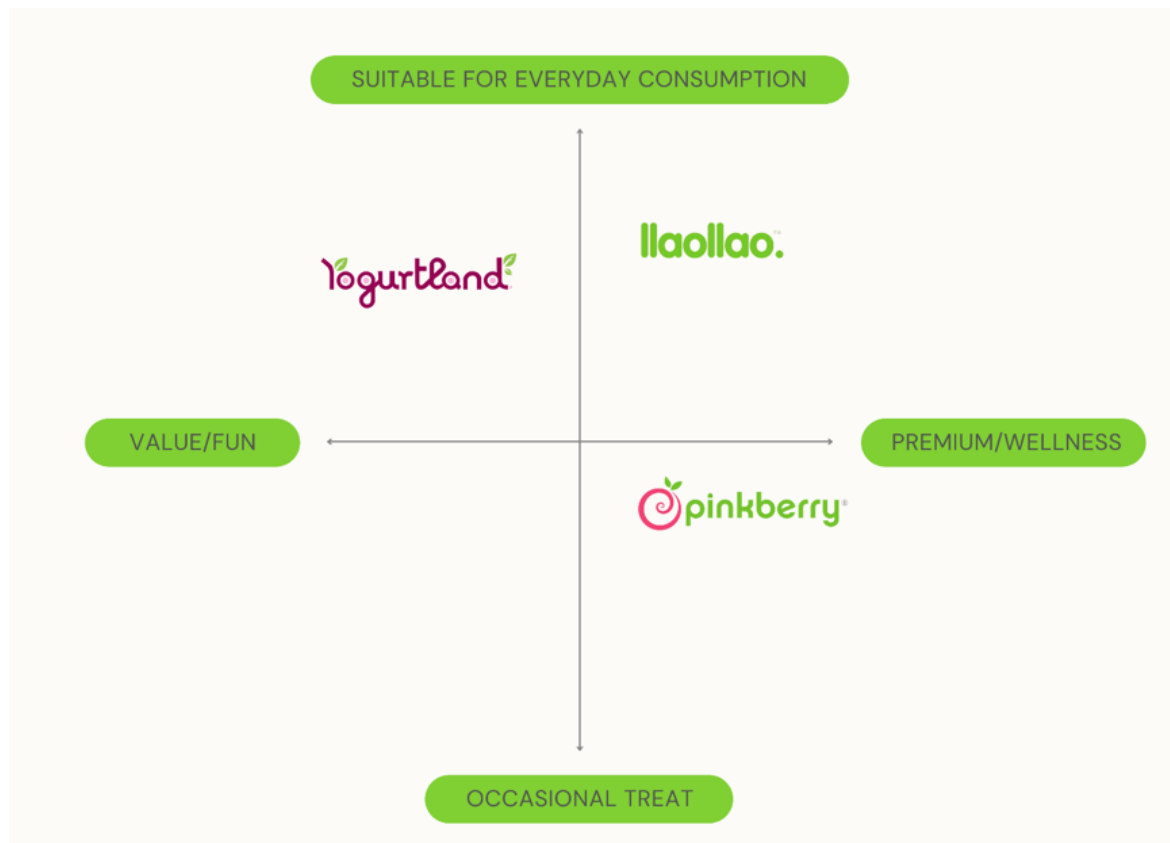


Figure 8: Perceptual Map

As shown in Figure 8, Yogurtland occupies higher frequency but lower premium meaning, Pinkberry anchors the premium treat space, and Llaollao bridges these positions by combining premium brand meaning with greater repeat viability. This defines the competitive space within which advantage must be constructed.

6.3 Sources of Competitive Advantage

Sustainable advantage therefore depends on how Llaollao integrates pricing logic, operational design, and brand meaning into a coherent system. Customer value in mall-based frozen yoghurt is determined by perceived benefits relative to price rather than by product category alone (Anderson et al., 2006; Kotler, 2016). Since all three brands operate within the same sub-category, advantage must arise from strategic configuration rather than basic attributes.

To distinguish baseline requirements from true differentiators, Roger Martin's coherence test is applied (Martin, 2013). If the absence of an element appears irrational, it is a category requirement rather than a source of advantage. Health positioning, customisation, and mall presence therefore enable entry, but their design determines differentiation.

Feature	If Absent, Is It "Stupid on Its Face"?	Strategic Implication
High-quality ingredients / natural yoghurt	Yes, premium froyo brands must signal quality to compete	Necessary for category entry, not a differentiator
Healthier than ice cream positioning	Yes, wellness framing is expected in frozen yoghurt	Hygiene factor in a health-aware market
Customisable toppings	Yes, core category norm	Parity condition; does not create advantage
Mall presence	Yes, froyo is an impulse, mall-based dessert format	Channel necessity, not a source of differentiation

Table 10: Roger Martin's Validation

Building on this foundation, Llaollao's sources of competitive advantage are summarised below (Table 11).

Advantage Type	Source of Competitive Advantage	Why it wins vs Yogurtland and Pinkberry
Functional (Operational)	Choice architecture advantage via signature-led ordering (Sanum)	Converts customisation into a default, repeatable choice, reducing friction and decision fatigue in high-footfall malls. Unlike Yogurtland's self-serve weight-based system, this supports faster ordering and repeat behaviour rather than novelty-driven choice.
Economic (Pricing & Portion Logic)	Portion & pricing logic advantage through size-based pricing (not weight-based)	Creates price certainty and perceived restraint, reducing guilt associated with overconsumption (Wansink, 2010). Encourages more frequent consumption compared to Pinkberry's treat-led premium sizing and Yogurtland's "pay by weight" indulgence model.
Emotional / Psychological	Permissible indulgence framing embedded in operations	Reinforces the feeling of "I can have this often" rather than "this is a special treat," increasing perceived benefits per dirham for health- and image-conscious Dubai consumers.
Brand / Symbolic	European premium brand meaning reinforced by operations	Premium cues are operationalised through served formats, curated signatures, and consistent portioning. This differentiates from American value-fun (Yogurtland) and premium-treat (Pinkberry) positioning, aligning indulgence with wellness rather than excess.
Product & Service Adaptation	Modular local flavour integration and seasonal offerings (e.g., dates, pistachio, Ramadan SKUs), supported by a digital loyalty ecosystem	Enables local resonance without sacrificing premium brand coherence. Unlike Pinkberry's largely standardised international menu (Pinkberry, 2026b), this approach balances cultural relevance with global consistency while reinforcing repeat engagement through integrated digital channels.
Business Model (Entry Strategy)	Initial company-owned flagship model before selective franchising	Ensures full control over product quality, service execution, and brand experience in a premium market. Enables faster local learning, menu experimentation, and unified customer data capture before scaling. Franchise-heavy competitors face structural limits in achieving the same level of consistency and strategic patience.
Strategic / Competitive	Difficult-to-replicate configuration of health, restraint, habit, and execution control	While competitors cannot abandon health or customisation (operating imperatives), replicating llaollao's full configuration would require menu redesign, pricing changes, operational restructuring, and brand repositioning, creating meaningful trade-offs that limit imitation.

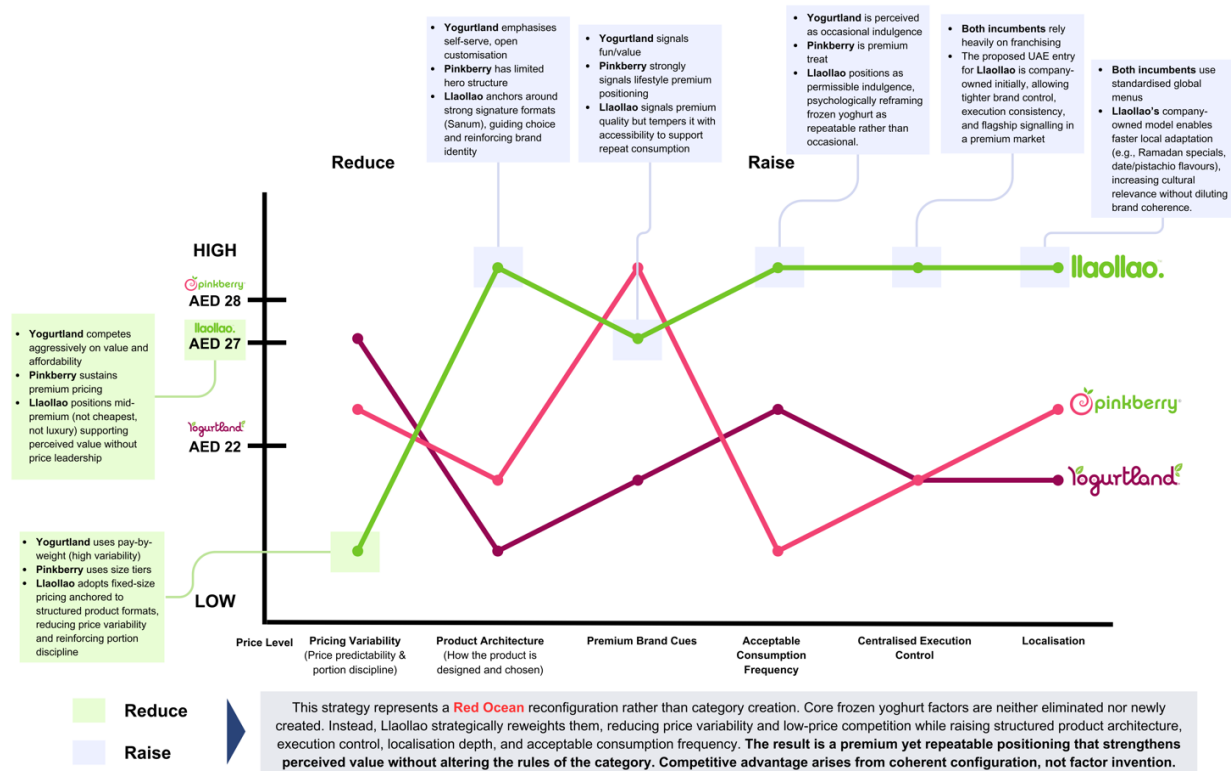
Table 11: Sources of Competitive Advantage

Llaollao's advantage stems from the integration of disciplined pricing, controlled portioning, guided ordering, culturally adaptive product design, and a company-owned execution model. These elements function as a coherent system that enhances perceived benefits per AED while maintaining premium signalling.

Defensibility arises from structural trade-offs. Yogurtland cannot introduce strict portion discipline without undermining its abundance-driven model. Pinkberry would dilute its treat-oriented premium identity if repositioned toward everyday repeat consumption. Replication would require redesigning pricing architecture, operating logic, and brand meaning, while potentially disrupting franchise economics and operational routines. Adjustment costs, incentive realignment, and margin compression would slow response speed, reinforcing Llaollao's structural defensibility.

Llaollao competes within an established frozen yoghurt market; its strategy therefore represents a Red Ocean reconfiguration rather than category creation. The brand neither eliminates core industry factors nor introduces entirely new ones. Instead, it reallocates emphasis across pricing predictability, execution control, consumption framing, and localisation depth.

As reflected in the Strategy Canvas (Figure 9), Llaollao occupies a distinct position as a premium yet repeatable permissible indulgence. This positioning underpins competitive advantage within a mature, switching-driven premium dessert market.



Note: Prices for Llaollao and Pinkberry reflect standard cup sizes, while Yogurtland pricing is calculated per 150g due to its pay-by-weight model

Figure 9: Strategy Canvas

7. Anticipated Competitive Responses

Given Llaollao's differentiated positioning as a premium yet repeatable permissible indulgence, incumbents are unlikely to remain passive. As established market players, Pinkberry and Yogurtland possess brand equity, mall relationships, and operational scale that enable defensive

responses. Drawing on defensive marketing theory (Kotler, 2016), these reactions can be categorised as position, flank, preemptive, or counteroffensive strategies. Table 12 outlines the most plausible responses and explains why Llaollao's integrated configuration remains structurally resilient under each scenario.

Defence Mechanism	Likely Competitor Reaction	Why They Would React This Way	Why Llaollao's Strategy Remains Robust
Position Defence	Pinkberry reinforces its premium treat positioning through enhanced loyalty programmes, experiential store upgrades, and stronger brand communication.	To protect its established mental ownership of the premium indulgence space and defend brand equity against a closely positioned entrant.	Llaollao competes on premium yet repeatable consumption rather than pure indulgence, reducing direct positioning conflict and limiting Pinkberry's ability to reposition without identity dilution.
Flank Defence	Yogurtland or Pinkberry may introduce a curated fixed-price line or launch a sub-brand targeting the structured premium segment.	To defend vulnerable mid-premium space without diluting their core abundance or treat-oriented positioning. A sub-brand allows protection without internal brand inconsistency.	While a sub-brand could defend the mid-premium space, it introduces operational complexity, menu redesign, and potential brand fragmentation. In contrast, llaollao's structured premium logic is embedded from inception within its pricing architecture and ordering system, making it coherent rather than an add-on adjustment.
Preemptive Defence	Competitors accelerate mall expansion, pre-announce new formats, or intensify visibility campaigns.	To signal market dominance early and deter momentum from a new entrant.	Accelerated expansion signals scale, but llaollao's phased pop-up model prioritises controlled brand building over footprint, reducing exposure to signalling battles.
Counteroffensive Defence	Temporary price promotions, bundle offers, or tactical discounts to discourage switching.	To directly neutralise trial and protect short-term share through price-based retaliation.	Temporary discounting may protect short-term share, but llaollao's structured value clarity and disciplined pricing make it less vulnerable to price retaliation without eroding margin integrity.

Table 12: Anticipated Competitive Responses

Overall, while defensive responses are expected, structural trade-offs constrain incumbents' ability to replicate Llaollao's configuration without materially diluting their positioning or eroding unit economics.

8. Conclusion and Strategic Recommendation

Entry into the UAE represents a strategically coherent extension of Llaollao's international growth model into a structurally attractive, high-income consumption environment. The UAE ice cream market, which includes frozen yoghurt within its defined scope, is projected to grow at 6.02% CAGR between 2026 and 2030 (Statista, 2026c). The country leads the Middle East in food and beverage expenditure, with per capita spending forecast to exceed \$3,900 in 2025 (Statista, 2025). Sustained tourism growth and strong mall-based footfall further reinforce structural demand for premium frozen dessert formats (Statista, 2026b).

Llaollao does not compete on novelty or price leadership, but on a coherent configuration of structured pricing, disciplined portioning, guided customisation, and company-owned execution. This integrated system increases perceived value relative to price while preserving premium brand meaning, creating defensible differentiation within a switching-driven premium dessert market.

Key risks include rising prime mall rents, which increase cost exposure under a company-owned model (CBRE, 2026); regulatory sequencing and Food Code compliance, which add entry complexity (UAE Ministry of Climate Change and Environment, 2023); and import dependence, which heightens supply risk (USDA FAS, 2025). These risks are partially mitigable through phased pop-up validation, disciplined capital deployment, dual sourcing, and early regulatory alignment, reinforcing the case for controlled scaling rather than rapid footprint expansion.

Under disciplined execution, UAE entry is a strategically compelling move that reinforces Llaollao's core capabilities, strengthens its premium yet repeatable positioning, and establishes a scalable platform for sustained Middle Eastern growth.

Generative AI Declaration

We acknowledge the use of ChatGPT-5 (OpenAI, <https://chat.openai.com>) as a supporting tool during the preparation of this Applied Strategic Marketing assignment.

The tool was used to assist with structuring the report, refining clarity and grammar, testing the logical coherence of arguments, generating some visualisations, and reducing word count.

We confirm that all strategic analysis, framework selection and application, analytical interpretations, and final written arguments are our own. AI outputs were used only to support drafting. No AI-generated content has been submitted as original academic analysis without critical evaluation and revision.

1. Prompt(s) Used (Examples)

Examples of the types of prompts used during the assignment include:

- How can I structure the report to align with the marking rubric?
- Does this framework align with the marking criteria?
- Please check the grammar and clarity of this section.
- This is the table that I constructed for the broad category SAM. Can you make it prettier without changing any data and format?
- Please reduce the word count on this paragraph.

2. Date Outputs Were Generated

Outputs were generated between 4 February 2026 and 19 February 2026 during drafting, editing, and final refinement before submission.

3. Output Obtained

Outputs consisted of text responses and illustrative image mock-ups generated within the ChatGPT interface. These included:

- Structural suggestions for the report
- Grammar and clarity improvements
- Visualisation of some graphs and charts
- Feedback on analytical reasoning and framework application

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